FRAMEWORK 8.0 / RESEARCH 2026-10-18

Semtech (SMTC)

Production artifact snapshot: G:/My Drive/1amInvesting/Artifacts/SMTC_Semtech_DeepDive.pdf

CURRENT EDITION - 18 October 2026 | Framework 8.0

Full investment research and current probability-weighted operating model. The October 15 Analyst Day raises the current guided-quarter operating profit by about 9% and supports about 4% more modeled FY2030 operating profit. The active Q4 2027 ceiling remains about USD 205 because those later profits fall outside that valuation window. The seven product paths, costs, shares and all complete forward windows below reconcile to the approved model. Both Base scores remain 78.

Q4 2027 ceiling

Semtech earns from qualified high-speed optical and copper components as customers increase bandwidth and adopt richer content. FiberEdge share, CopperEdge adoption and laser development support the opportunity. Accepted output, product mix, supplier capacity and recurring engineering cost determine how much of that demand becomes profit.

October 15 update: guidance implies about USD 138 million of adjusted operating profit for FQ3 FY2027, up from the saved USD 127 million. The new FY2030 financial framework is a future management goal. The active model gives its incremental residual 60% probability after deducting the entire prior seven-vector case, including the existing policy economics.

Financial display: currency and percentage figures are rounded to whole numbers for readability. Source slides retain original figures. Calculations, shares and probability controls retain full precision in the linked model and master workbook. Rounded table entries may not sum exactly.

Current model item	Value
Q4 2027 ceiling	About USD 205 per share
Valuation window	Q4 2027 through Q3 2028
Artifact analytical Base	78/100
Protected portfolio Excel Base	78/100
Valuation method	20x forward-four-quarter adjusted operating profit
Current valuation shares	About 102 million; exact starting-quarter denominator retained

A small optical-component pricing contribution remains constrained by the existing 72% data-center gross-margin cap. Copper and other businesses receive no direct policy benefit. The new FY2030 goal receives a separate residual bridge with explicit overlap and costs.

The valuation window includes the labeled quarter and the next three quarters. The active horizon next rolls on January 1,2027; that scheduled change is separate from any economic revision.

Semtech quarterly model ceilings

USD per share | 20x forward operating profit | whole-number display

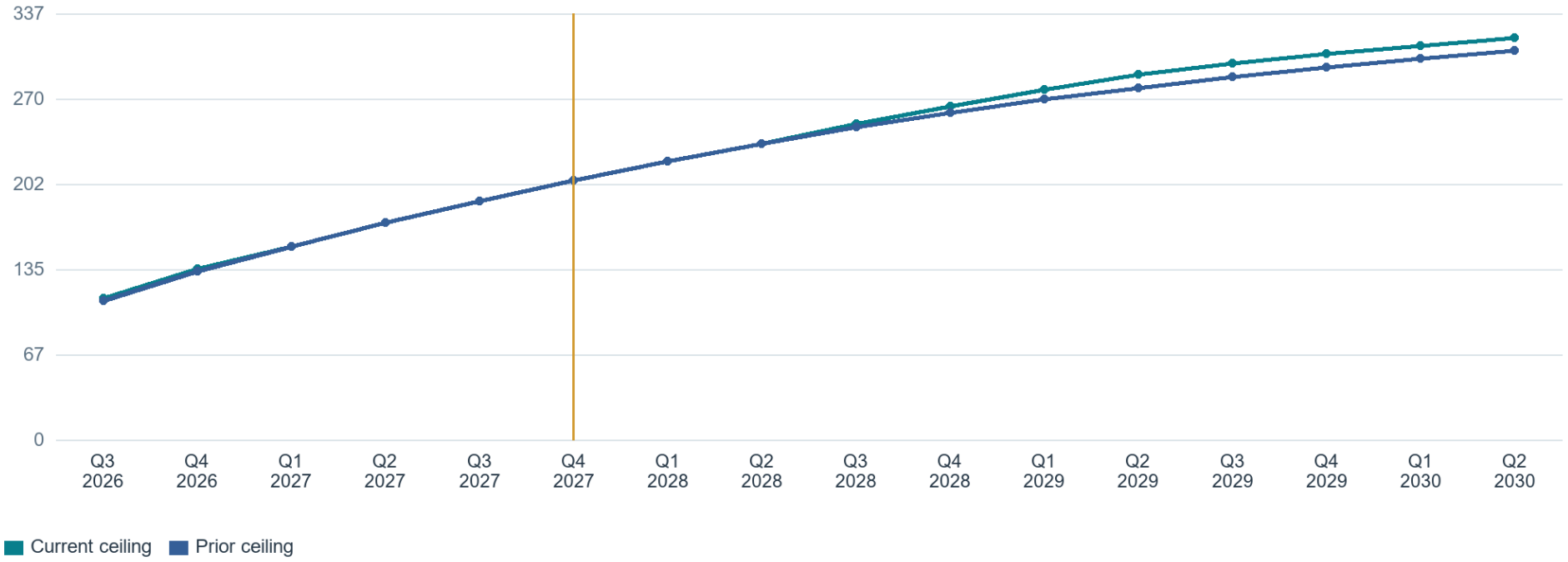


Figure 1. Current and prior quarterly ceilings. The active Q4 2027 horizon is marked in gold; its value is unchanged. The FY2030 goal begins affecting windows that include Q2 2029.

Ceiling quarter	Previous USD/share	Current USD/share	Approximate change
Q3 2026	110	112	+2%
Q4 2026	133	135	+2%
Q1 2027	153	153	Unchanged
Q2 2027	171	171	Unchanged
Q3 2027	189	189	Unchanged
Q4 2027	205	205	Unchanged
Q1 2028	220	220	Unchanged
Q2 2028	234	234	Unchanged
Q3 2028	247	250	+1%
Q4 2028	258	264	+2%
Q1 2029	269	277	+3%
Q2 2029	278	289	+4%
Q3 2029	287	297	+4%
Q4 2029	294	305	+4%
Q1 2030	301	312	+3%
Q2 2030	307	318	+3%

Analytical Base and scored conviction

Category	Score	Evidence and limit
Core Thesis	16/20	FiberEdge 800G share moved from roughly 18% two years ago to **well over 50%**, on an industry unit base that went from about 20 million transceivers a year to roughly 90 million. 1600G FiberEdge share is targeted **above 50% by fiscal year end**. The company is **designing to every module provider in its target markets, several on a sole-source basis**. CopperEdge linear equalizers are the **de facto industry standard** with design-in at all bandwidths up to 3200G. Held below the chokepoint band because Rule 9 fails: merchant competitors exist and no physics or patent gate gives sole supply
Cycle Stage	10/10	Tenth consecutive quarter of net sales growth, record revenue above the high end of outlook, +33% YoY, October 15 consolidated guidance +56% YoY. The August call described data-center guidance +160% YoY, FY2027 backlog all booked against the then-target and FY2028 over 70% booked
TAM Expansion	9/10	Content per transceiver guided from high single-digit dollars to **80 to 90 dollars** as the industry moves 800G to 3200G, a roughly tenfold content step. Portfolio now spans gain chips, high-power CW lasers, SOAs and photodiodes for scale-up, scale-out and scale-across. Held below 10 because it remains component content inside someone else's system
Catalysts	5/5	October 15 Analyst Day financial goals now reviewed; divestiture close in FQ4 FY2027; CW laser revenue from H1 FY2028; ACC volume deployment from FQ4; 3200G design window opening within 12 months
Macro	9/10	DB1 photonics and AI interconnect. Held below 10 because the company depends on hyperscaler capex it does not control
Alpha	2/5	Well-covered Nasdaq name with broad sell-side attention. No local-language edge and no coverage gap
Risks	-4	Four classes, one point each. See section 6
Total	47/60 = 78/100	High Conviction; price-independent analytical thesis score

Artifact analytical Base: 78/100. Protected portfolio Excel Base: 78/100. The portfolio value is a separate retained decision; it is not a scoring-table input.

Qualified optical-component content remains attractive, but competition and outsourced supply persist. The policy contribution is constrained by the existing 72% data-center gross-margin cap. The October 13 dedicated SiGe capacity partnership supports execution but supplies no precise wafer allocation or accepted incremental customer order. Competitive supply and qualification risks remain.

Base measures thesis quality. The 40% policy probability weights only the incremental operating economics, once; neither Base nor the policy weight is applied again to the final ceiling. Scores use integer category points on the /60 framework lattice.

Capacity evidence retained in the current model

The October 2 expert allocation hypothesis retains 30% probability and full volume overlap with the existing ramp. The October 13 Semtech/Tower announcement confirms a multiyear capacity partnership and Semtech investment in dedicated SiGe capacity; no precise 8,000-wafer allocation, finished-product revenue or funding amount was disclosed. These capacity events add no separate volume branch. The October 15 guidance and FY2030 goal changes are calculated separately below. The active Q4 2027 ceiling remains about USD 205 at 20x, with both Bases 78. Semtech/Tower primary announcement.

The October 2 P Equity Research / tuolaji expert call is a single publisher/expert chain, with an unidentified expert and AI translation. Its specific capacity, customer funding and die-economics claims are useful hypotheses, not issuer-reported commitments. The three 30% weights below apply to their narrow stated outcomes; they are not probabilities that Semtech's whole business succeeds, are not independent corroborations and are not applied to the final ceiling. The retained FCC pricing branch remains separately weighted at 40% and is already included once in the saved path.

Issuer evidence versus the precise expert claim

Semtech reported USD 100 million of FQ2 FY2027 data-center revenue and initially guided roughly USD 145 million for FQ3 in August. October 15 guidance now sets the consolidated total; the current DC allocation is about USD 150 million and remains an analyst allocation. Management's August 25 call described room for 50-100% capacity growth, prepayment/capex discussions and additional backend testers. It did not publish an exact 8,000-wafer Tower allocation or the expert's funding amount. HieFo's separate 3-4x fab expansion is not a Tower SiGe multiplier. Capacity must convert through qualified good die, packaging/test, customer demand and revenue recognition.

The expert describes a 3,500-4,000 monthly starting allocation and approximately 8,000 by 2027, but also describes adding 5,000 (which would imply 8,500-9,000). PDF page 17 uses both mid-2027 and end-2027. The conditional bridge uses the supplied 8,000 endpoint and a late-2027 interpretation, while retaining these inconsistencies explicitly.

Semtech's demand has historically been quite stable, averaging about 3,500 wafers per month. But around August 2026, the company raised new requirements, wanting 8-inch monthly capacity to increase by 5,000 wafers by mid-2027, raising the current monthly average of 3,500–4,000 wafers to 8,000 wafers per month.

Q23. What specific plans does the customer have for 2027 capacity demand for

5th-generation SiGe TIA chips used in 1.6T optical modules? What are the underlying drivers and chip-usage logic?

The customer hopes to ramp related capacity up to 8,000 wafers per month by the end of 2027. This demand is mainly driven by 1.6T optical modules, centered on 5th-generation SiGe TIA. Specifically, 1.6T optical modules use an 8×200G architecture, and the TIA used follows a "one-drives-four" configuration, so each 1.6T module needs two TIAs and two Drivers — four chips in total. Compared with the previous solution, chip usage has tripled, so total demand has grown twelvefold. Based on this, the customer's request to double capacity is reasonable. This increase will directly drive revenue growth.

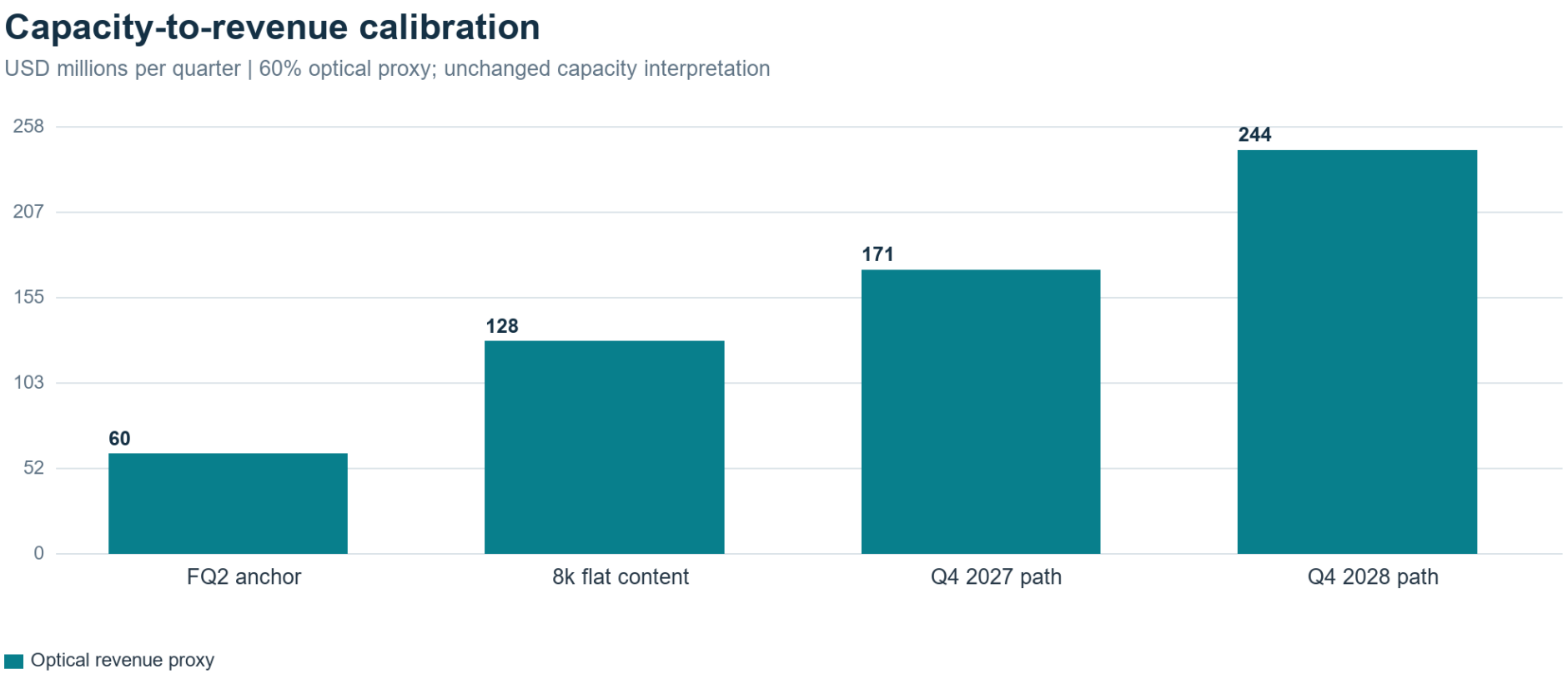
Q24. Regarding the capacity demand brought by 1.6T optical modules, what are the related expansion plans, investment scale, cost structure, and the cooperation model reached with the customer?

To meet demand, the plan is to add 5,000 wafers per month of SiGe capacity. The total budget for the expansion project is a little over $90 million, of which the customer has been asked to contribute more than $60 million in the form of Capex, and the customer has agreed. This customer investment does not need to be repaid and will be used to amortize depreciation on the new capacity. Regarding the cooperation agreement, although expansion funding is mainly provided by the customer, the agreement stipulates that if the customer does not use

Source exhibit C1. User-supplied P Equity Research / tuolaji expert call, October 2, 2026, PDF page 17. Anonymous expert claims and AI translation; precise allocation, timing and funding are unconfirmed. Full source page retained.

Calibrated optical pool and the required mix / realization hurdle

The public DC anchor combines optical and copper products. Applying the retained 60% optical proxy produces a USD 60 million anchor. Calibrating this pool to 3,750 wafers/month gives USD 5,333 of realized optical revenue per wafer. At 8,000 wafers/month and unchanged realization, quarterly optical revenue would be USD 128 million. The saved Q4 2027 optical proxy is USD 171 million, requiring about 34% higher realized optical revenue per wafer than the calibrated anchor. This is a required mix/content/utilization hurdle, not a newly assumed universal ASP increase.



FigureC2. Unchanged capacity calibration against the existing optical revenue proxy. No second wafer-derived revenue increment is added.

Bridge item	Value	Definition / status
Reported FQ2 FY2027 DC anchor	100	USD M / quarter; includes copper and photonics
Optical share proxy	60%	Analyst allocation; not company-disclosed
Calibrated optical anchor	60	USD M / quarter
Expert starting allocation midpoint	3,750	Wafers/month; midpoint of attributed 3,500-4,000
Calibrated optical revenue per wafer	5,333	USD; 60M / (3,750 x 3); realization proxy, not ASP
Expert conditional endpoint	8,000	Wafers/month; late-2027 interpretation, 30% hypothesis
Endpoint at unchanged realization	128	USD M / quarter; 8,000 x 3 x calibrated value
Saved Q4 2027 DC path	285	USD M / quarter; frozen forecast
Saved Q4 2027 optical proxy	171	USD M / quarter; 60% of saved DC path
Required Q4 2027 realization factor	about 134% of calibrated realization	171 / 128; mix/realization hurdle, not verified ASP
Saved Q4 2028 DC path	406	USD M / quarter; frozen forecast
Saved Q4 2028 optical proxy	244	USD M / quarter; 60% of saved DC path
Q4 2028 factor if capacity held at 8,000	about 190% of calibrated realization	Later hurdle only; no 8,000-wafer cap imposed on forecast

If monthly capacity stayed at 8,000, the saved Q4 2028 optical proxy would require **about 190% of calibrated realization** the anchor realization. The report does not impose that capacity ceiling on later forecasts. Future wafer expansion, product content, realized mix and backend conversion remain evidence to test. None is silently added again as a separate profit branch.

Raw expert wafer x die x chip arithmetic produces **about USD 305-432 million per quarter today**, already about 3-4times total reported DC revenue, and **USD 696-864 million** at 8,000 wafers/month. These are gross-production-value calculations with unmatched scope and realization, not revenue estimates. USD 2,400 per wafer divided by 5,000-6,000 dies gives 40-48US cents raw wafer cost per die; it excludes yield losses, packaging/test and other costs. It cannot establish a corporate gross margin above the retained 72% DC cap. Quad and octal architectures coexist, so four chips per module is not a universal bill of materials.

Explicit probability and overlap ledger

PE-TSEM-20261002-SMTC-CAPACITY

Field	Disposition
Precisely weighted hypothesis	Approximately 8,000 monthly Tower SiGe wafers available to Semtech by late 2027
Probability	30%
Probability rationale	One credible publisher/expert chain; unidentified expert, AI translation and conflicting mid/end-year timing. Primary evidence supports capacity investment generally, not this precise amount.
Existing reference	100M quarterly DC anchor, rising to 285.4275M Q4 2027; model already assumes 50-100% capacity expansion and richer content.
Conditional interpretation	8,000 wafers/month with about 134% of calibrated realization calibrated optical revenue per wafer supports the existing Q4 2027 optical pool. This factor is the required mix/realization hurdle, not a separately forecast or verified ASP increase.
Overlap / exclusion	100% of the claimed volume increase is absorbed by the existing shipment/content path; do not add 30% of the whole capacity endpoint.
Incremental revenue / GP / opex / OP	0 / 0 / 0 / 0 USD million in every modeled quarter
Evidence trigger	Increase incremental economics only if allocated/accepted wafer output, sellable die mix and customer revenue support output beyond this existing path. Reduce timing if backend capacity or qualification slips.

PE-TSEM-20261002-SMTC-FUNDING

Field	Disposition
Precisely weighted hypothesis	Semtech contributes more than USD 60M to a more than USD 90M Tower expansion
Probability	30%
Probability rationale	Specific single-source amount; issuer corroborates prepayment/capex route but not this amount or accounting.
Existing reference	Capacity investment and front/back-end constraints already described; future product GM includes production cost.
Conditional interpretation	Funding is a cash use, prepayment or capitalized right depending contract; it is not immediate revenue or profit. No separate project-life or repayment terms established.
Overlap / exclusion	No second profit/capex-derived revenue layer. Retain 72% DC GM cap and original costs; investigate recoverability/amortization when contract detail is available.
Incremental revenue / GP / opex / OP	0 / 0 / 0 / 0 USD million in every modeled quarter
Evidence trigger	Company disclosure of contract life, ownership, prepayment recoverability and expense recognition.

PE-TSEM-20261002-SMTC-DIE-ECONOMICS

Field	Disposition
Precisely weighted hypothesis	Selected 200G TIA chip ASP is around about USD 6 and raw wafer cost is about USD 2400
Probability	30%
Probability rationale	Specific expert channel check; product and volume denominator uncertain.
Existing reference	65% modeled anchor DC GM; path capped at 72%.
Conditional interpretation	Literal current wafer x die x chip arithmetic yields about USD 305-432M quarterly, versus only USD 100M reported DC revenue including copper. Calibrated proxy uses USD 60M optical pool, not raw gross die count.
Overlap / exclusion	Cost per raw die excludes scrap, packaging/test, product mix, inventory and selling/engineering costs; it does not establish a company margin above the saved cap. Four chips/module is not universal because quad and octal architectures coexist.
Incremental revenue / GP / opex / OP	0 / 0 / 0 / 0 USD million in every modeled quarter
Evidence trigger	Matched finished-product shipments, good-die yield, exact die mix, packaging/test cost and realized ASP.

Funding is a cash-use hypothesis: the expert describes more than USD 60 million from Semtech toward a more than USD 90 million expansion. The primary capacity announcement does not disclose the expert's precise funding amount, recoverability, ownership, project life or accounting. It is not immediate profit, and no grant-funded second revenue layer is added. The existing adjusted-OP basis retains normal depreciation; capex, prepayments and depreciation are different items.

New capacity evidence effect	Active quarter Q4 2027	Forward window Q4 2027-Q3 2028	Model disposition
Revenue / GP / opex / OP	0 / 0 / 0 / 0	0 / 0 / 0 / 0	Capacity event alone adds zero economics; see the separate new guidance/goal bridge
Ceiling / Base	205 / 78	20x adjusted OP; 101.8M shares	Retained

Policy breadcrumb and economic hypothesis

Serenity's October 1 post attributes Washington meetings to Morgan Stanley and reports a possible 3200G-focused restriction, with a potential 65% U.S.-value route for Chinese modules. The source expects laser pricing to matter more than broad module-share redistribution. Treat this as an attributed policy scenario; the original MS note and final FCC language establishing these exact terms were not recovered. The separate September 25 Senate proposal concerns sensitive federal systems and a five-year transition. It is not confirmation of these FCC terms.

Serenity policy post | Foundry follow-up | Separate Senate proposal

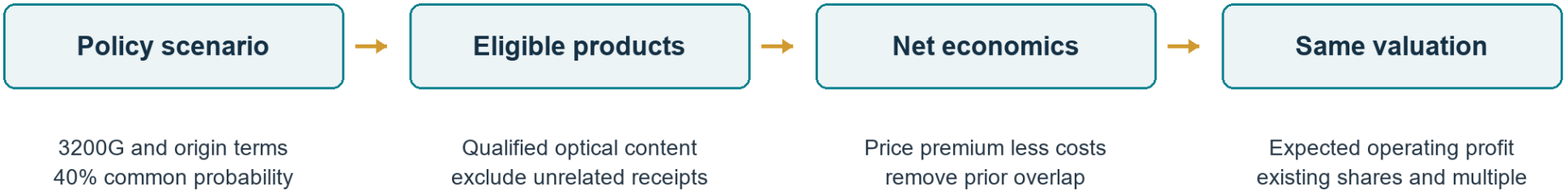


Figure 2. Transmission of the attributed policy scenario through eligible products, net costs and the existing valuation method. This is an analyst diagram.

Assigned common policy-scenario probability: 40%. Subjective initial weight above the single-source 25-35% band because Serenity has the owner's highest weighting and attributes Washington meetings to Morgan Stanley. The exact future rule, timing and economic effect remain uncertain. Serenity and Morgan Stanley are one source chain, not two independent confirmations.

60% of data-center revenue is a bounded optical-content proxy, excluding the remaining copper/other exposure. Half is eligible and half repricable. Existing no-erosion pricing is the starting point. Keep the inherited 72% data-center gross-margin cap; additional cost/mix absorption prevents mechanically exceeding it.

Eligible fractions are bounded scenario assumptions, not origin certificates. U.S. corporate domicile and a U.S. listing do not prove manufacturing origin. If the final content definition excludes the modeled products, their eligible fraction goes to zero.

For component and integrated suppliers, the filtered revenue pool means 3200G-linked sales plus incremental cross-generation pricing spillover from competition for common qualified capacity. It is not a claim that 800G/1600G is directly regulated. Fractions are LOW-confidence exposure proxies, not verified geographic market shares.

Signal ledger field	Current treatment
Signal ID / date	FCC-OPTICS-20261001; Serenity/MS source chain
What is already included	All saved product growth, shortages, capacity, customer probabilities and contracts. The bridge adds only the explicitly calculated incremental economics.
Probability and timing	40% common policy scenario; price/cost intensity 0 before Q3 2027, 25% Q3 2027, 50% Q4 2027, 75% Q1 2028, 100% from Q2 2028.
Numerical contribution	Q4 2027 operating quarter: delta revenue about USD 428 thousand and consolidated OP about USD 385 thousand. The four-quarter valuation OP contribution is about USD 2,640 thousand.
Dependence	The policy probability is shared across companies. These are correlated portfolio exposures, not independent confirmations. Existing customer-conversion probabilities are already inside source revenue.
Raise weight	Rule/proposal scope supports qualifying content and timing; company product/foundry evidence improves; customer sourcing or like-for-like price negotiations support the incremental premium.
Reduce weight	Policy is delayed beyond the horizon, the content definition excludes products, supply eases, fixed contracts prevent repricing, unit costs absorb the premium, or 3200G conversion slips.
Zero-contribution boundary	No broad TAM uplift, no new factory capacity, no OCS benefit and no blanket-ban recovery.

Conditional inputs selected before calculating targets

Input	Value	Evidence status
Optical fraction of data-center pool	60%	LOW-confidence analyst assumption; inherited cap where labeled
Relevant qualifying exposure	50%	LOW-confidence analyst assumption; inherited cap where labeled
New / repricable contracts	50%	LOW-confidence analyst assumption; inherited cap where labeled
Conditional incremental price premium	5%	LOW-confidence analyst assumption; inherited cap where labeled
Incremental COGS / price revenue	5%	LOW-confidence analyst assumption; inherited cap where labeled
Incremental opex / incremental revenue	5%	LOW-confidence analyst assumption; inherited cap where labeled
Data-center gross-margin cap	72%	LOW-confidence analyst assumption; inherited cap where labeled

Incremental COGS and opex rates apply to incremental price revenue, not original product revenue or COGS.

Timing is an analyst sensitivity. A deliberately labeled early-sourcing proxy ahead of a 2028 3200G ramp. Earlier quarters receive zero incremental policy revenue. Full intensity begins Q2 2028 and remains an uncertain continuation through the saved forecast only. These dates are not announced orders or a published regulatory timetable. The probability sensitivity below includes a no-policy control; a later start would reduce the near-term contribution.

Existing policy bridge: revenue, costs and profit

All financial amounts in this section are USD thousands. This is the unchanged policy contribution inside the prior active case, before the separately calculated FY2030 goal residual.

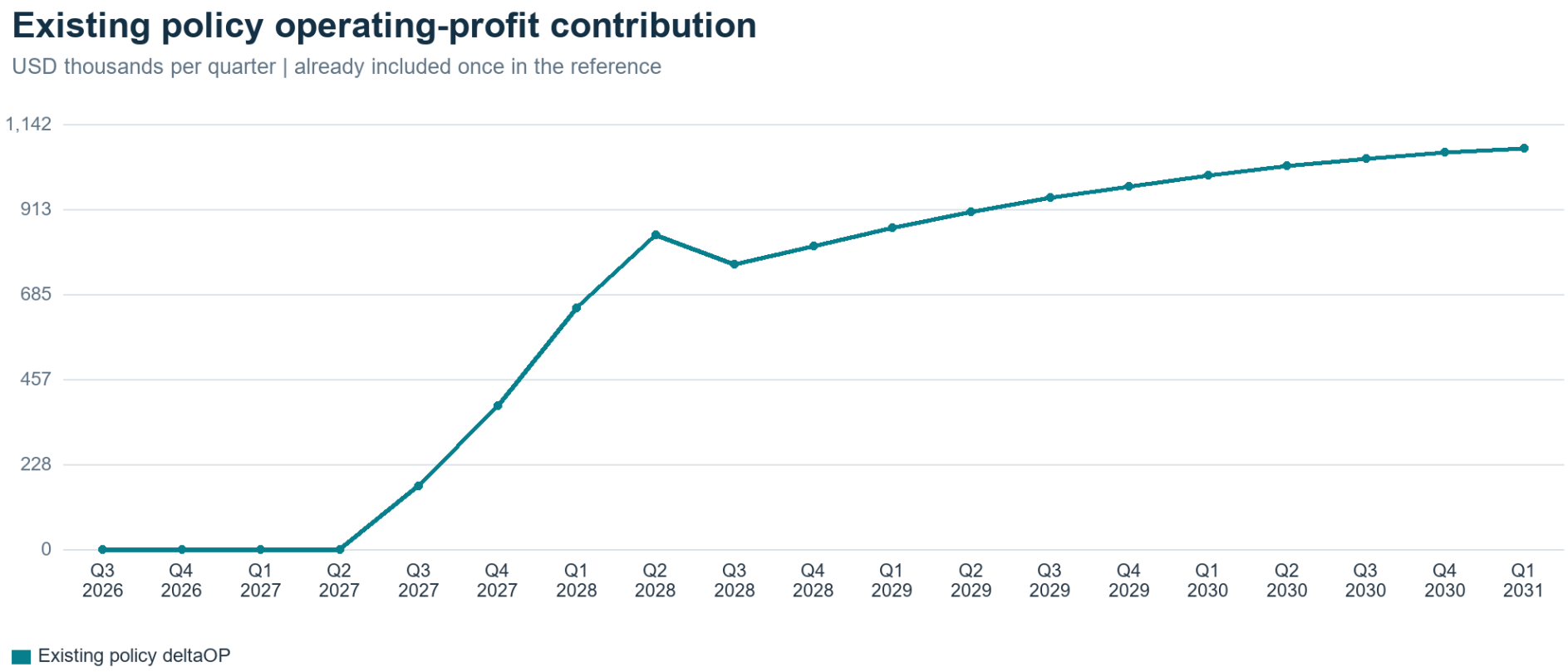


Figure 3. Existing probability-weighted policy contribution, USD thousands. The new financial framework deducts this prior contribution before weighting any residual.

Quarter	Delta revenue	Delta COGS	Delta GP	Delta opex	Delta OP
Q3 2026	0	0	0	0	0
Q4 2026	0	0	0	0	0
Q1 2027	0	0	0	0	0
Q2 2027	0	0	0	0	0
Q3 2027	188	9	178	9	169
Q4 2027	428	21	406	21	385
Q1 2028	720	36	684	36	648
Q2 2028	1,050	154	896	53	844
Q3 2028	1,140	319	821	57	764
Q4 2028	1,215	340	875	61	814
Q1 2029	1,290	361	929	65	864
Q2 2029	1,350	378	972	68	905
Q3 2029	1,410	395	1,015	71	945
Q4 2029	1,455	407	1,048	73	975
Q1 2030	1,500	420	1,080	75	1,005
Q2 2030	1,536	430	1,106	77	1,029
Q3 2030	1,566	439	1,128	78	1,049
Q4 2030	1,590	445	1,145	80	1,065
Q1 2031	1,608	450	1,158	80	1,077

Active-window product bridge

Product / event	Pre-policy operating pool	Filtered exposure	Weighted delta revenue	Weighted delta OP
Data Center: FiberEdge, CopperEdge and photonics	285,000	42,750	428	385

Business research and source evidence

The following sets out the company thesis, historical results, guidance, capacity, program probabilities, risks and original source images. Source dates remain visible. Operating assumptions below feed the complete current financial tables, including the explicit probability-weighted policy contribution.

1. Core thesis

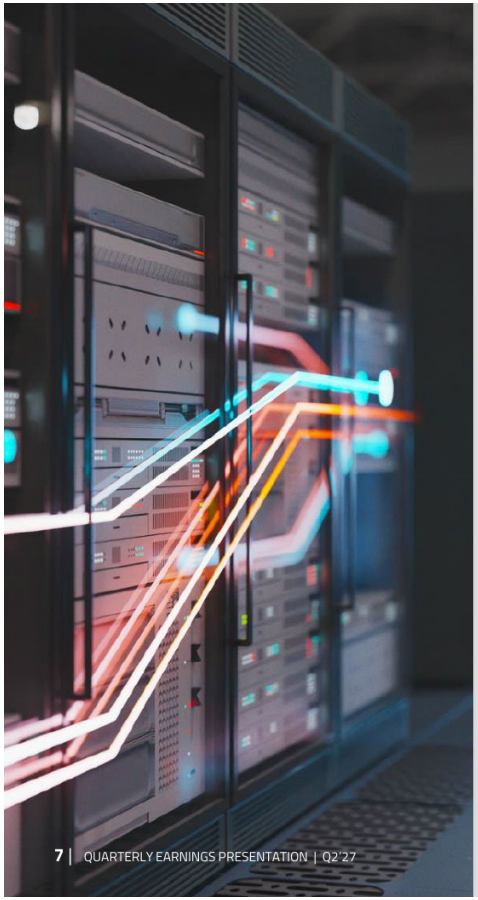
Semtech sells the analog and photonic layer that makes high-speed interconnect work: TIAs and drivers on the optical side, linear equalizers on the copper side, and now gain chips, CW lasers, SOAs and photodiodes underneath both.

Rule 9 classification: Semtech is a qualified critical-component bottleneck with merchant alternatives. MACOM, Broadcom and Marvell build competing silicon, which limits exclusive pricing power. The company has gained share: FiberEdge went from roughly 18% of 800G two years ago to **well over 50%**, the company is **designing to every module provider in its target markets, several on a sole-source basis**, and CopperEdge linear equalizers are described as the **de facto industry standard** with the lion's share of that market.

Supercycle: DB1 photonics and CPO. Signal-hierarchy position: Layer 3, critical component.

2. Latest earnings anchor (AH-15)

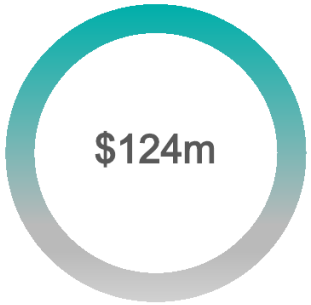
FQ2 FY2027, quarter ended 26 July 2026, reported 25 August. Issuer results below retain their original reporting period and are displayed as whole numbers. The source slides preserve full precision; the calibrated model anchor remains a separate allocation.



Infrastructure End Market

Data Center, PON/FTTH, Wireless, Infrastructure Circuit Protection

Q2'27 NET SALES



Q/Q Change	+25%
Y/Y Change	+69%

- Record Q2'27 data center net sales of $100m, +39% Q/Q and +91% Y/Y; continued strength in 800G and early 1.6T ramp
- Strong demand for FiberEdge TIA and driver solutions; deepening engagement across all leading hyperscalers; now designed into every major module provider in target markets
- FiberEdge at 1.6T expected to exceed 50% market share by the end of FY'27
- CopperEdge up to 1.6T are ready for volume deployment; currently engaged in the design-in phase at all bandwidths up to 3.2T
- Photonics portfolio now spans gain chips, high-power CW lasers, SOAs and high-speed photodiodes for scale-up, scale-out and scale-across data center connectivity applications
- Positioned to grow content per transceiver from high single-digit to high double-digit dollars as the industry transitions from 800G to 3.2T
- Executed well on capacity expansion plan, securing equipment deliveries for this fiscal year and acquiring additional cleanroom space
- Targeting 45% Q/Q and 160% Y/Y data center net sales growth in Q3'27, with accelerating Y/Y growth and continued momentum through FY'28

SEMTECH

Source exhibit C4. Semtech FQ2 FY2027 presentation, August 25, 2026, PDF page 7. Reported infrastructure / data-center results and management commentary.

Metric	Value	Note
Revenue	**342**	issuer-reported; record, above the high end of outlook, +17% sequential, +33% YoY. **Tenth consecutive quarter of growth**
Data Center	**100**	record, **+39% sequential, +91% YoY**
Infrastructure	124	+25% sequential, +69% YoY
LoRa-enabled	**58**	all-time record, +31% sequential, +58% YoY
IoT systems and connectivity	98	+11% sequential and YoY
High-end consumer	39	+2% sequential, -5% YoY
Adjusted gross margin	**55%**	+150bp sequential. Semiconductor products **63%**, +210bp. **Ex-module 60%**
Adjusted net opex	103	issuer-reported; below the low end of guidance
Adjusted operating income	**84**	issuer-reported; **24% margin**
Adjusted EBITDA	91	27% margin
Adjusted diluted EPS	**71 cents**	+39% sequential, **+73% YoY**, more than twice the rate of revenue growth
Operating cash flow / FCF	69 / 61	issuer-reported; net capex 8
Cash / debt principal	204 / 503	net leverage 1

Q3’27 Outlook*

(in millions, except per share data)						
Net sales	$	410.0		+/-	$	5.0
Non-GAAP Financial Measures						
Adjusted gross margin*		58.3	%	+/-		100 bps
*Adjusted gross margin, excluding held-for-sale**		63.9	%	+/-		100 bps
Adjusted operating expenses, net*	$	112.0		+/-	$	3.0
Adjusted operating income*	$	127.0		+/-	$	4.0
Adjusted operating margin*		31.0	%	+/-		60 bps
Adjusted interest and other expense, net*	$	0.5				
Adjusted normalized tax rate*		18	%			
Adjusted diluted earnings per share*	$	1.05		+/-	$	0.03
Adjusted EBITDA*	$	134.3		+/-	$	4.0
Adjusted EBITDA margin*		32.8	%	+/-		60 bps
Non-GAAP diluted share count*		99.0				

*See Non-GAAP Financial Measures above

SEMTECH

Source exhibitC5. Historical August 25 FQ3 outlook, superseded by the October 15 update. Preserved original source page; the current guidance is shown in exhibitAD1 and the live table below.

Current FQ3 FY2027 guidance and model calibration

On October 15, Semtech raised consolidated sales to a range of USD 415-420 million, with a midpoint of about USD 418 million. Adjusted gross margin is 59%, adjusted operating margin 33%, and ex-held-for-sale gross margin 64%. Adjusted EPS guidance is 114 cents, plus or minus 2 cents. These are company outlook figures, separate from the last reported quarter.

Accelerating Growth: Q3'27 Outlook Update

$417.5m
Revenue
(Midpoint) +/- $2.5m

Prior: $410.0m +/- $5.0m

+56%
Y/Y
(at Midpoint)

59.0%
Adj. Gross Margin*
(Midpoint) +/- 40bps

Prior: 58.3% +/- 100bps

64.0%
Adj. Gross Margin,
ex. business held for sale*
(Midpoint) +/- 40bps

Prior: 63.9% +/- 100bps

33.0%
Adj. Operating Margin*
(Midpoint) +/- 10bps

Prior: 31.0% +/- 60bps

$1.14
Adj. Diluted EPS*
(Midpoint) +/- $0.02

Prior: $1.05 +/- $0.03

+138%
Y/Y
(at Midpoint)

*See Non-GAAP Financial Measures above and Supplemental Information.

Source exhibitAD1. Semtech CFO Analyst Day, October 15,2026, PDF page 8 / printed page 51. Official updated FQ3 FY2027 guidance. Original source figures and uncertainty ranges are preserved.

Metric	Current issuer outlook	Current model
Revenue, USD million	415-420; midpoint about 418	418
Adjusted gross margin	59% +/-40 basispoints	59%
Adjusted operating margin	33% +/-10 basispoints	33%
Adjusted operating profit, USD million	Derived from revenue and margin midpoints	138
Adjusted opex, USD million	Model derives GP less OP	109
Adjusted gross margin excluding business held for sale	64% +/-40 basispoints	64% calibration check
Adjusted diluted EPS, cents	114 +/-2	Not used to replace the operating-profit method

The guide midpoint replaces the former guided quarter once. The model moves adjusted operating profit from about USD 127 million to USD 138 million, an increase of about 9%. Higher gross profit and lower implied operating expense both contribute. Later quarters through Q1 2029 retain the prior operating forecast; no automatic guide-beat extrapolation is added.

Semtech provides consolidated guidance, not the seven-product split or DC-only gross margin. The new guide is allocated using the retained module-sales assumption and rounded ex-module mix proxies. The DC and LoRa allocations are about USD 150 million and USD 71 million. Other retained-business allocations are scaled to the consolidated total. Product gross margins are calibrated so gross profit and operating profit match the official midpoints. These allocations, including the module-margin residual, are analyst assumptions rather than reported product guidance.

The August DC and LoRa growth indications retain their source date and are no longer presented as the latest consolidated outlook. The 64% ex-module margin is an issuer cross-check; product margins depend on the labeled allocation assumptions.

Reported results and the calibrated model anchor

The actual period is **FQ2 FY2027 ended July 26, 2026, reported August 25**. The saved model labels it Q3 2026; this inherited mapping is a financial-model slot, not an exact July-September reported quarter. The next slot aligns to FQ3 FY2027 guidance. Future product allocations remain modeled, even when the consolidated total is anchored to guidance.

Metric, USD M unless stated	Issuer FQ2 FY2027	Saved Q3 2026 model anchor	Interpretation
Revenue	342	342	Rounded / calibrated model total
Adjusted operating profit	84	84	Saved adjusted-OP anchor; not exact reported OP
Adjusted opex	103	102	Saved calibrated cost anchor
Held-for-sale revenue / adjusted GP	48 / 11	40 / 6	Explicit issuer disclosure versus legacy module allocation
AirLink / retained IoT revenue	Not separately assigned here	58	Legacy model allocation
DC-only gross margin	Not disclosed	65%	Nonunique model residual
Combined semiconductor GM	63%	Calibration reference	Broader than DC alone
Signal Integrity revenue / GP / GM	126 / 82 / 65%	No direct one-to-one vector mapping	Reported segment; not pure DC

The calibrated historical anchor remains unchanged. The October 15 guide replaces only the guided quarter; the FY2030 target adds only the separately weighted residual. The source-label corrections above prevent rounded totals and allocation residuals from being presented as exact issuer disclosures. Source: Semtech FQ2 FY2027 issuer presentation, PDF pages 17-18 and 21-23.

Reconciliation of GAAP to Non-GAAP Results

	Q2'27					
	Signal Integrity	**Analog Mixed Signal and Wireless**	**Total Semiconductor Products**	**IoT Systems and Connectivity**	**Unallocated[1]**	**Total**
Net sales	$ 126.2	$ 117.4	$ 243.5	$ 98.3	$ —	$ 341.9
Segment cost of sales	43.8	46.8	90.6	64.9	2.6	158.1
Segment gross profit	$ 82.4	$ 70.5	$ 153.0	$ 33.4	$ (2.6)	$ 183.8
Segment gross margin	65.3%	60.1%	62.8%	34.0%	NM[2]	
Gross margin (GAAP)						**53.8 %**
Share-based compensation						0.2 %
Amortization of acquired technology						0.5 %
Adjusted gross margin (Non-GAAP)						**54.5 %**
Business held for sale[3]						5.2 %
Adjusted gross margin, excluding business held for sale (Non-GAAP)						**59.7 %**

[1] Unallocated includes share-based compensation and amortization of acquired technology
[2] Not meaningful
[3] Adjustment for net sales of $48.1 million and adjusted gross profit of $10.9 million related to business held for sale as of Q2'27

Dollar amounts in millions and may not add precisely due to rounding

SEMTECH

Source exhibit C3. Semtech FQ2 FY2027 presentation, August 25, 2026, PDF page 18. Issuer segment reconciliation and held-for-sale figures; DC-only gross margin is not disclosed. Source URL appears in the source register.

3. Seven-vector decomposition (AH-11)

Vector	Anchor revenue	Anchor GM	Driver	AH-7
Data Center	100	65%	FiberEdge TIA and driver, CopperEdge linear equalizers, HieFo photonics. 1600G surpasses 50% of data-centre revenue in FQ3	Anchor HIGH, path LOW
Infrastructure other	24	57%	PON, 5G, satellite	LOW
LoRa-enabled	58	70%	LoRaWAN, LoRa Plus at 20-25% of mix, Amazon Sidewalk at high single digits	Anchor HIGH, path LOW
AirLink / IoT connectivity	58	47%	5G RedCap routers, network slicing, software platform	LOW
Cellular modules	40	15%	**Held for sale.** Legacy model allocation; zero from calendar Q2 2027	LOW; model allocation
Industrial other	23	57%	Broad industrial analog	LOW
High-end consumer	39	54%	TVS circuit protection, SurgeSwitch, PerSe capacitive sensing	LOW

The saved anchor allocations are model assumptions, not uniquely solved issuer disclosures. The 40 module and 58 AirLink revenue allocations, 15% module margin, 47% AirLink margin and **65% data-center margin** remain unchanged for this update. The DC margin is a nonunique residual conditional on the other product assumptions. The issuer actually disclosed 48 of held-for-sale revenue and 11 of adjusted gross profit; it did not disclose DC-only gross profit. These differences are source-label caveats, not a forecast reset. All amounts are USD millions.

Module divestiture changes the sales mix and margin profile

A definitive agreement is signed, the business sits as held for sale, close is expected in FQ4 FY2027, and the transaction is **expected to be EPS neutral on a non-GAAP basis**. Management gives the bridge twice: 55% against 60% ex-module at the anchor, and the October 15 outlook gives 59% consolidated against 64% excluding the business. The latest difference is 500 basispoints. The issuer disclosed 48 of held-for-sale revenue and 11 of adjusted GP in FQ2 FY2027. The saved future allocation carries 43, then a part quarter of 21, then zero; these are retained model assumptions rather than a uniquely implied or disclosed future module schedule.

Mark Lin's framing: a good starting point post-divestiture is that **64% gross margin**.

Above the 64% starting point, disclosed under AH-15 clause 5

The inherited FY2028 blended gross margin was **66%**, before the incremental policy pricing contribution, above management's stated 64%. The permitted evidence is management-stated and specific: 64% is described as a *starting point* rather than a level; mix is named as the driver with 1600G inflecting and LoRa compounding; there is **no price erosion on 800G**; **availability matters more to customers than pricing** and cost increases are being passed through; and CW lasers are described as carrying a data-centre gross margin accretive to the corporate average.

Data-centre gross margin is capped at 72% in this model. An unbounded mix effect would otherwise carry the vector above anything a merchant analog supplier sustains.

4. Rolling forward-4Q ceiling (AH-16)

Ceiling = [OP(Q) + OP(Q+1) + OP(Q+2) + OP(Q+3)] x 20 ÷ diluted shares

6. Key risks (each scored)

#	Risk	Detail and kill switch
1	**Competitive socket**	MACOM, Broadcom and Marvell all build competing TIAs and drivers. Share above 50% is a position, not a barrier, and it was won inside three years, which means it can be lost inside three years. **Kill switch:** FiberEdge 1600G share failing to exceed 50% by fiscal year end.
2	**Capacity may not be enough**	Management states directly that secured capacity **may not be enough for FY2028, especially the second half**, and is using prepayments and capex with front-end and back-end partners to secure more. Room is described as 50 to 100% additional. Revenue is capped by supply, not demand. **Kill switch:** any quarter where revenue is constrained by capacity rather than orders.
3	**Photonics execution**	The August 25 call described HieFo as owned for five to six months. CW lasers and SOAs are sampling within a couple of months and **revenue does not begin until H1 FY2028**. Photodiode arrays are a design team, not a product. Fab capacity must rise 3 to 4x by year end. **Kill switch:** CW laser transceiver revenue slipping beyond H1 FY2028.
4	**Convertible dilution**	The share count rises from 98.5M to a modelled 107.4M across the ladder as convertibles enter. Every rung is divided by a larger number than the last. **Kill switch:** diluted share count exceeding 110M.

Not scored: the cellular module divestiture. It removes roughly 43 of quarterly revenue and adds more than 500 basis points of structural gross margin, and management expects it to be EPS neutral on a non-GAAP basis.

7. Cross-book

Name	Read-through
AAOI	Buys Semtech TIAs and drivers. Semtech confirming exceptionally strong FiberEdge demand and earlier-than-expected 1600G qualification is a direct read-through to AAOI's own 1600G ramp, and both describe the same customer urgency.
LITE, COHR	Module makers and, in the CW laser layer, prospective competitors. Semtech's HieFo lasers target the same external-light-source socket, though revenue is a year out.
SIVE.ST	A focused CW laser supplier. Semtech's high-power CW laser entry adds a competing merchant route; the August call described five or six module manufacturers evaluating and a H1 FY2028 revenue objective.
MRVL	Competes in optical DSP and retimed architectures. Semtech's linear and LPO positioning is the counter-architecture: linear equalizers displace retimers where link margin allows.
3363.TWO FOCI, 6451.TW ShunSin	The CPO packaging layer Semtech's NPO and MPO engagement feeds into.
MTSI	The closest listed comparable in high-speed analog for optical, and the direct share counterparty in TIAs and drivers.

8. Open rulings

#	Ruling required	Impact
1	**The 20x multiple** is carried as the sanctioned input for this name and is not re-derived here	Current Q4 2027 sensitivity: 18x gives about USD 185; 25x gives about USD 256. Selected method remains 20x
2	**Inherited FY2028 gross margin of 66% against management's stated 64% starting point.** Disclosed under AH-15 clause 5 on mix, pricing and sole-source evidence	A flat 64% assumption would lower profit; the current model tables provide the revised margin path
3	**The seven-vector split is modeled.** Segment totals, DC and LoRa sales, and the held-for-sale business revenue and GP are disclosed; DC-only GP is not	Saved allocations are retained as retained historical assumptions; the 65% DC margin is a nonunique model residual
4	**Data-centre gross margin capped at 72%** by judgement rather than by disclosure	The cap limits this current model increment; removing it is not part of the selected case
5	**Future module revenue of 43 and the modeled 10-15% margins** are retained assumptions; issuer FQ2 held-for-sale revenue / GP were 48 / 11	Historical source-label correction does not reset the frozen forecast allocations

9. Execution and revision triggers

#	Trigger	Test	If passed	If failed
1	**October 15 financial framework, now reviewed**	Track the USD 3,200 million FY2030 sales goal, USD 2,100 million DC goal and 48-50% OP margin	Retain or raise the 60% residual weight only with matched execution	Reduce or remove the residual if mix, costs or timing deteriorate
2	**FQ3 FY2027 results**	Revenue against the current 415-420 million range and 33% adjusted OP margin; product split remains modeled	Replace guidance with actual results and reconcile product mix	Revisit delivery, costs and subsequent demand
3	FiberEdge 1600G share	Above 50% by fiscal year end as management states	Core Thesis evidence confirmed	Risk 1 binds
4	Divestiture close	Completion in FQ4 FY2027 and the reported ex-module margin structure	Margin step confirmed in reported numbers	Reprice the margin bridge
5	CW laser revenue	First transceiver revenue in H1 FY2028	**Rule 16b escalation pre-committed: photonics vector 25% → 60%** on first disclosed revenue	Risk 3 binds
6	Capacity conversion	October 13 dedicated SiGe partnership; verify qualified output, backend testing and accepted deliveries	Revise only output beyond the existing ramp after costs/overlap	Delay the affected cohort if qualification or backend output slips
7	Counter-trigger	A named competitor winning a sole-source socket Semtech currently holds, or 800G price erosion appearing	-	Immediate Core Thesis and margin review

Business analysis originally built 2026-08-26 from Semtech's FQ2 FY2027 results and earnings call (2026-08-25), with source-label corrections, October 13 capacity context and October 15 financial guidance/goals reviewed October 18,2026. Anchor product margins and the saved module / AirLink split are model assumptions. Historical evidence retains its source dates. The retained financial tables reconcile to SMTC_Q_Model in the master workbook.

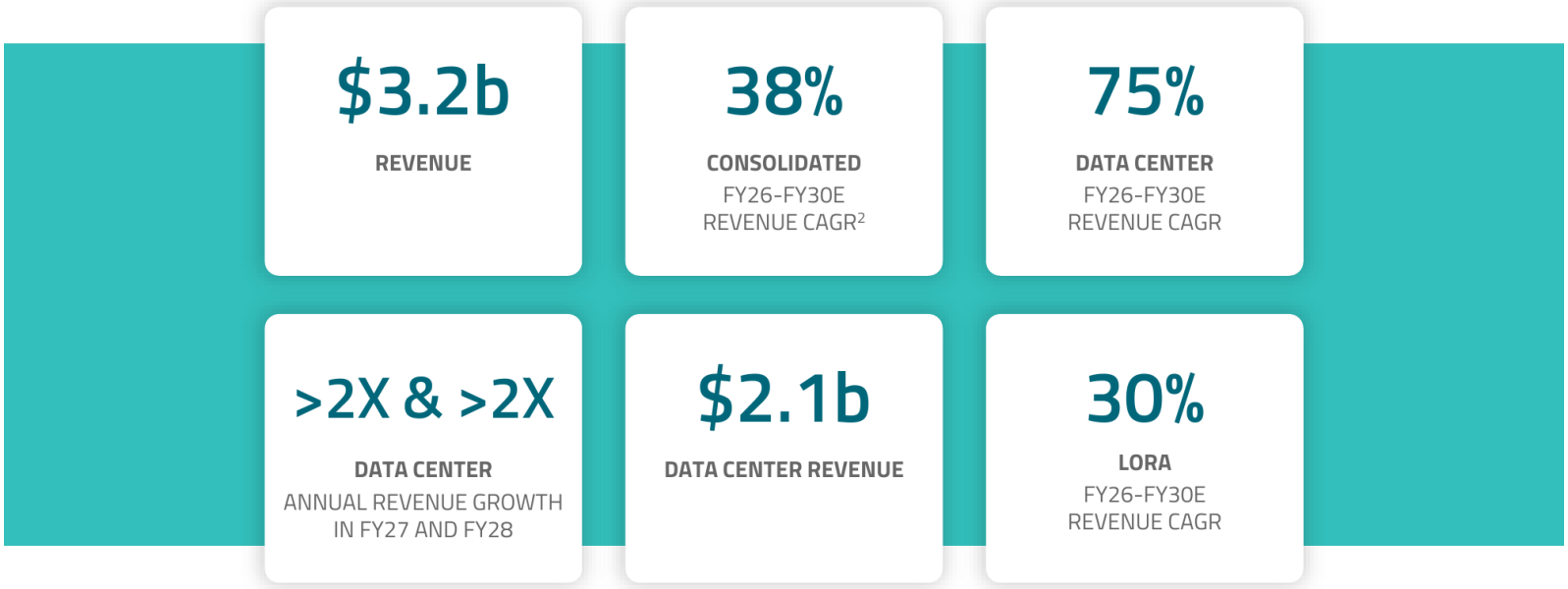
Complete current operating model

October 15 financial framework and incremental outcome

The company supplied a FY2030 financial goal of USD 3,200 million sales, including USD 2,100 million data-center sales,70% adjusted gross margin and 48-50% adjusted operating margin. The midpoint 49% implies USD 1,568 million operating profit. The company explicitly labels this framework as goals rather than guidance or forecasts. The model treats it as a conditional outcome.

The prior FY2030 case already forecast about USD 3,218 million sales and USD 1,475 million operating profit. Therefore the new goal reduces the revenue endpoint slightly while supporting better mix and costs. The incremental case begins with the gap above that entire prior forecast, including the retained 40% policy contribution. No extra NPO, ACC, laser or capacity invoice is stacked onto the company goal.

Financial Framework FY30E[1]



1. See disclosure regarding Financial Framework FY30. 2. Consolidated FY26-FY30E revenue CAGR excludes $166m in FY26 Cellular Module revenue.

Source exhibitAD2. October 15 CFO presentation, PDF page 15 / printed page 58. FY2030 sales and application goals. The growth comparison excludes FY2026 cellular-module sales as footnoted in the source.

Financial Framework FY30E[1]



1. See disclosure regarding Financial Framework FY30. 2. See Non-GAAP Financial Measures above and Supplemental Information. 3. Assumes 20% Non-GAAP tax rate and 104 million weighted average Non-GAAP diluted shares outstanding.

Source exhibitAD3. October 15 CFO presentation, PDF page 16 / printed page 59. Non-GAAP margin and cash-flow goals; the original tax/share assumptions remain visible for comparison, with no change to the model share schedule.

FY2030 metric, USD million unless stated	Previous active case	Conditional goal	New active case, p 60%
Revenue	3,218	3,200	3,207
Gross profit	2,200	2,240	2,224
COGS	1,017	960	983
Operating expense	726	672	693
Operating profit	1,475	1,568	1,531
Gross margin	68%	70%	69%
Operating margin	46%	49%	48%

Probability:60%. Direct management goals and the raised near-term guide support this outcome. The dedicated-capacity partnership supports execution without proving a specific output number. The remaining 40% retains the prior delivery/cost path. This is a judgment about the incremental financial outcome; no additional probability is applied to company-wide sales or the final target.

Cost and overlap bridge: the conditional goal produces about USD 40 million more gross profit and about USD 54 million less operating expense than the old FY2030 case. Together these imply about USD 93 million more operating profit before weighting. At 60%, the expected OP increment is about USD 56 million, or about 4% of the previous FY2030 forecast. Manufacturing, qualification, support, R&D and SG&A remain within COGS and opex. Cash investment is not treated as immediate OP.

Allocation assumptions: the USD 2,100 million DC endpoint is a management goal. The split of remaining sales across non-DC products, quarterly seasonality and product margins is modeled. The conditional non-DC margin calibration adds about 3percentagepoints to the retained product mix so the conditional aggregate reaches 70% GM. The existing 72% DCgross-margin cap remains. None of these product margins is reported company guidance.

Timing: FY2030 maps to calendar Q2 2029-Q1 2030 in the existing model. The new goal adds no unsupported margin ramp in earlier periods. The FY2031 continuation keeps the FY2030 incremental annual dollars flat, with no new TAM compounding. The existing fiscal share, risk and currency conventions remain.

The active Q4 2027 target includes Q4 2027-Q3 2028 earnings, so it remains about USD 205. The first later window affected by the FY2030 goal is Q3 2028, which includes Q2 2029. This is an economic revision in later earnings windows, separate from the next scheduled horizon roll.

The new financial goal adds only its residual

USD millions | remove the full existing case before applying the 60% weight



Figure 7. FY2030 operating-profit bridge. The 60% weight applies only to the conditional residual above the entire previous active case.

Signal field	Current decision
Event	SEMTECH-ANALYST-DAY-20261015
Conditional outcome	USD 3,200 million sales; USD 2,100 million DC;70% GM;49% OP margin midpoint
Probability and alternative	60% incremental goal outcome;40% prior operating path
Overlap	Deduct complete seven-vector forecast, including existing 40% policy branch
Incremental FY2030 GP / opex / OP	About+USD 24 million GP / -USD 32 million opex / +USD 56 million OP after weighting
Quarterly shape	Retained model seasonality; FY2030 only; later residual annual dollars flat
Product-level assumptions	Non-DC mix and margins calibrated; DC margin cap 72% retained
Share/tax goals	Company 104 million shares and 20% tax are checks only; existing shares and OP method retained
Raise weight	Accepted shipment mix, sustained realized margins and expense leverage ahead of retained case
Reduce weight	Qualification delay, lost sockets, pricing erosion, unbudgeted costs or target timing slippage

Detailed quarterly operating schedules

Q3 2026 is the retained rounded/calibrated FQ2 FY2027 anchor, rather than exact calendar-quarter actuals. Q4 2026 uses the October 15 consolidated guide with analytical product allocations. All later rows are forecasts. The current schedules include the existing policy case once and the new FY2030 residual once. Currency values below are USD millions unless stated.

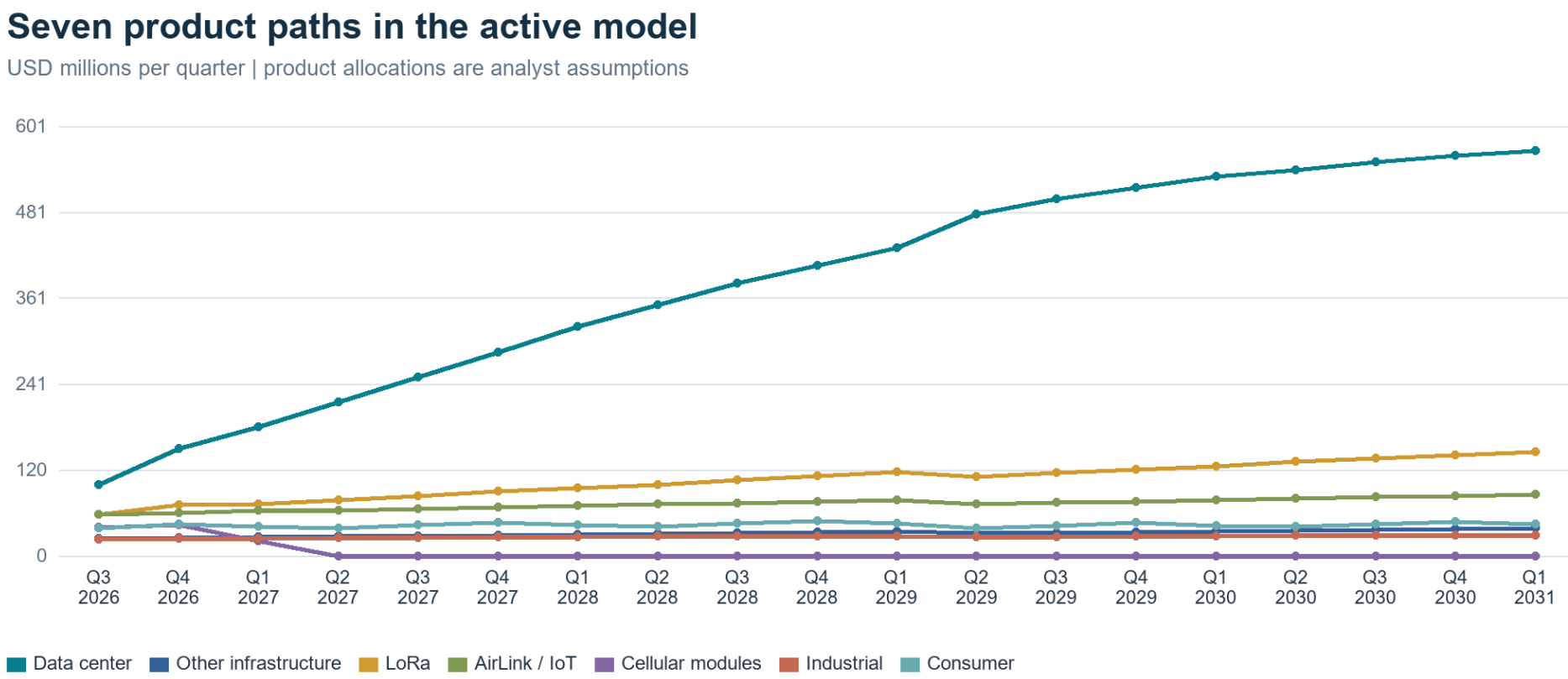


Figure 4. Current quarterly revenue by all seven product vectors; source inputs and model allocations are separated in the text.

Quarter	Revenue	Gross profit	COGS
Q3 2026	342	186	156
Q4 2026	418	246	171
Q1 2027	428	266	162
Q2 2027	448	294	154
Q3 2027	496	328	168
Q4 2027	545	363	182
Q1 2028	585	393	192
Q2 2028	622	420	202
Q3 2028	665	451	214
Q4 2028	704	478	226
Q1 2029	733	500	234
Q2 2029	758	525	233
Q3 2029	791	548	243
Q4 2029	819	568	251
Q1 2030	839	583	256
Q2 2030	858	596	262
Q3 2030	880	611	269
Q4 2030	901	625	275
Q1 2031	911	633	278

Adjusted operating profit

USD millions per quarter | official guide reset and weighted FY2030 residual

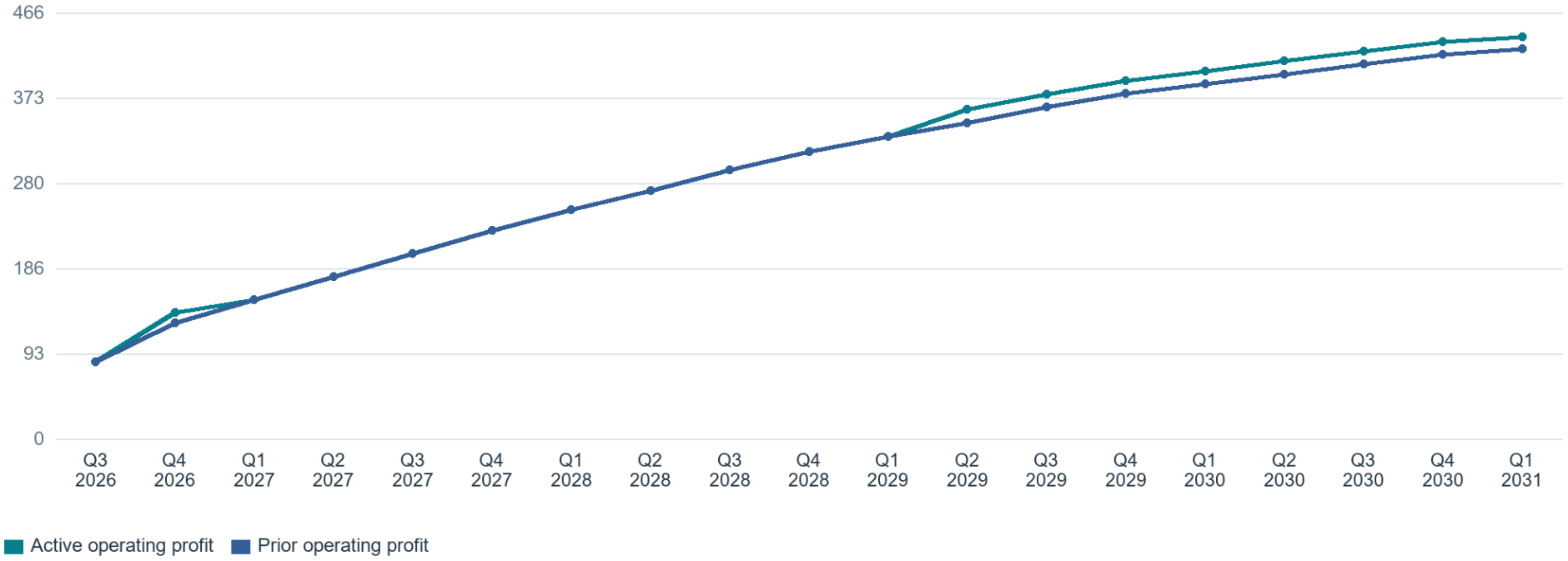


Figure 5. Current and prior adjusted operating profit. The official guide changes Q4 2026; the goal residual enters Q2 2029 onward.

Quarter	Revenue	Gross margin	Opex	Operating profit	OP margin
Q3 2026	342	55%	102	84	25%
Q4 2026	418	59%	109	138	33%
Q1 2027	428	62%	114	152	35%
Q2 2027	448	66%	116	178	40%
Q3 2027	496	66%	125	203	41%
Q4 2027	545	67%	135	228	42%
Q1 2028	585	67%	142	250	43%
Q2 2028	622	68%	149	271	44%
Q3 2028	665	68%	157	294	44%
Q4 2028	704	68%	164	314	45%
Q1 2029	733	68%	169	331	45%
Q2 2029	758	69%	165	360	48%
Q3 2029	791	69%	171	377	48%
Q4 2029	819	69%	177	391	48%
Q1 2030	839	69%	181	402	48%
Q2 2030	858	69%	182	413	48%
Q3 2030	880	69%	187	424	48%
Q4 2030	901	69%	191	434	48%
Q1 2031	911	70%	194	440	48%

Every revenue vector and product margin

Product revenue and gross-margin allocations are model assumptions; company guidance is consolidated. The conditional product mix and margin calibration is described above.

Data Center (FiberEdge, CopperEdge, photonics)

Quarter	Revenue	Gross margin	Gross profit
Q3 2026	100	65%	65
Q4 2026	150	70%	105
Q1 2027	180	70%	127
Q2 2027	215	71%	152
Q3 2027	250	71%	178
Q4 2027	285	72%	204
Q1 2028	321	72%	230
Q2 2028	351	72%	253
Q3 2028	381	72%	274
Q4 2028	406	72%	292
Q1 2029	431	72%	311
Q2 2029	478	72%	344
Q3 2029	499	72%	360
Q4 2029	515	72%	371
Q1 2030	531	72%	383
Q2 2030	540	72%	389
Q3 2030	552	72%	397
Q4 2030	561	72%	404
Q1 2031	567	72%	409

Infrastructure other (PON, 5G, satellite)

Quarter	Revenue	Gross margin	Gross profit
Q3 2026	24	57%	14
Q4 2026	25	59%	15
Q1 2027	26	59%	15
Q2 2027	27	59%	16
Q3 2027	28	59%	17
Q4 2027	29	59%	17
Q1 2028	30	60%	18
Q2 2028	31	60%	18
Q3 2028	32	60%	19
Q4 2028	33	60%	20
Q1 2029	34	60%	20
Q2 2029	32	62%	20
Q3 2029	33	62%	20
Q4 2029	33	62%	21
Q1 2030	34	62%	21
Q2 2030	36	62%	22
Q3 2030	37	62%	23
Q4 2030	37	62%	23
Q1 2031	38	62%	24

LoRa-enabled

Quarter	Revenue	Gross margin	Gross profit
Q3 2026	58	70%	41
Q4 2026	71	72%	51
Q1 2027	73	72%	53
Q2 2027	78	72%	56
Q3 2027	84	72%	61
Q4 2027	90	72%	65
Q1 2028	95	73%	69
Q2 2028	100	73%	73
Q3 2028	106	73%	77
Q4 2028	112	73%	82
Q1 2029	117	73%	85
Q2 2029	110	75%	83
Q3 2029	116	75%	87
Q4 2029	121	75%	91
Q1 2030	126	75%	94
Q2 2030	132	74%	99
Q3 2030	137	74%	102
Q4 2030	141	74%	105
Q1 2031	146	74%	109

AirLink / IoT connectivity

Quarter	Revenue	Gross margin	Gross profit
Q3 2026	58	47%	27
Q4 2026	60	50%	30
Q1 2027	63	50%	32
Q2 2027	64	51%	32
Q3 2027	66	51%	34
Q4 2027	68	51%	35
Q1 2028	70	52%	36
Q2 2028	72	52%	37
Q3 2028	74	52%	39
Q4 2028	76	52%	40
Q1 2029	78	53%	41
Q2 2029	72	55%	40
Q3 2029	74	55%	41
Q4 2029	76	55%	42
Q1 2030	78	55%	43
Q2 2030	80	55%	45
Q3 2030	82	56%	46
Q4 2030	84	56%	47
Q1 2031	86	56%	48

Cellular modules (held for sale)

Quarter	Revenue	Gross margin	Gross profit
Q3 2026	40	15%	6
Q4 2026	43	15%	7
Q1 2027	21	10%	2
Q2 2027	0	0%	0
Q3 2027	0	0%	0
Q4 2027	0	0%	0
Q1 2028	0	0%	0
Q2 2028	0	0%	0
Q3 2028	0	0%	0
Q4 2028	0	0%	0
Q1 2029	0	0%	0
Q2 2029	0	0%	0
Q3 2029	0	0%	0
Q4 2029	0	0%	0
Q1 2030	0	0%	0
Q2 2030	0	0%	0
Q3 2030	0	0%	0
Q4 2030	0	0%	0
Q1 2031	0	0%	0

Industrial other

Quarter	Revenue	Gross margin	Gross profit
Q3 2026	23	57%	13
Q4 2026	24	59%	14
Q1 2027	24	59%	14
Q2 2027	25	59%	15
Q3 2027	25	59%	15
Q4 2027	26	59%	15
Q1 2028	26	60%	15
Q2 2028	27	60%	16
Q3 2028	27	60%	16
Q4 2028	28	60%	17
Q1 2029	28	60%	17
Q2 2029	26	62%	16
Q3 2029	26	62%	16
Q4 2029	27	62%	17
Q1 2030	27	62%	17
Q2 2030	28	62%	17
Q3 2030	28	62%	17
Q4 2030	29	62%	18
Q1 2031	29	62%	18

High-end consumer (TVS, sensing)

Quarter	Revenue	Gross margin	Gross profit
Q3 2026	39	54%	21
Q4 2026	45	56%	25
Q1 2027	41	56%	23
Q2 2027	39	56%	22
Q3 2027	43	56%	24
Q4 2027	47	56%	27
Q1 2028	43	56%	24
Q2 2028	41	57%	23
Q3 2028	45	57%	26
Q4 2028	49	57%	28
Q1 2029	45	57%	26
Q2 2029	39	59%	23
Q3 2029	43	59%	25
Q4 2029	46	59%	27
Q1 2030	43	59%	25
Q2 2030	41	59%	24
Q3 2030	45	59%	26
Q4 2030	48	59%	28
Q1 2031	45	59%	26

Full ceiling derivation

For each labeled valuation quarter, sum that quarter and its next three quarters of adjusted operating profit, multiply by 20, and divide by the exact inherited starting-quarter diluted shares. Existing risk and currency factors remain unchanged. The model keeps the current accounting basis and does not substitute company EPS goals,104 million target shares or a new tax convention.

The display below rounds financial values and shares. All targets are calculated from unrounded underlying values.

Ceiling quarter / window	F4Q OP	Multiple	Starting shares, million	Current ceiling
Q3 2026 to Q2 2027	551	20x	99	112
Q4 2026 to Q3 2027	670	20x	99	135
Q1 2027 to Q4 2027	760	20x	100	153
Q2 2027 to Q1 2028	859	20x	100	171
Q3 2027 to Q2 2028	953	20x	101	189
Q4 2027 to Q3 2028	1,044	20x	102	205
Q1 2028 to Q4 2028	1,130	20x	103	220
Q2 2028 to Q1 2029	1,211	20x	103	234
Q3 2028 to Q2 2029	1,300	20x	104	250
Q4 2028 to Q3 2029	1,382	20x	105	264
Q1 2029 to Q4 2029	1,460	20x	105	277
Q2 2029 to Q1 2030	1,531	20x	106	289
Q3 2029 to Q2 2030	1,584	20x	107	297
Q4 2029 to Q3 2030	1,631	20x	107	305
Q1 2030 to Q4 2030	1,674	20x	107	312
Q2 2030 to Q1 2031	1,711	20x	108	318

Q4 2027 example: the unrounded forward profit totals about USD 1,044 million. At 20x and about 102 million starting-quarter diluted shares, the model ceiling is about USD 205. Both the profit window and exact share denominator are unchanged by this update.

Calendar-year cross-check

These sums include only the quarters present in the saved model. Fiscal years differ; partial calendar years remain labeled.

Calendar year	Coverage	Revenue	Gross profit	Opex	Operating profit	OP margin
2026	2 quarters	760	433	211	222	29%
2027	4 quarters	1,918	1,251	491	760	40%
2028	4 quarters	2,576	1,742	612	1,130	44%
2029	4 quarters	3,101	2,141	682	1,460	47%
2030	4 quarters	3,478	2,415	741	1,674	48%
2031	1 quarters	911	633	194	440	48%

Fiscal-year cross-check

Each fiscal year runs from calendar Q2 of the preceding calendar year through Q1 of the labeled year. The new financial target applies to FY2030; the fiscal totals below use the model's retained period mapping.

Fiscal year	Revenue	Gross profit	Opex	Operating profit	OP margin
FY2028	2,074	1,378	519	859	41%
FY2029	2,725	1,849	638	1,211	44%
FY2030	3,207	2,224	693	1,531	48%
FY2031	3,550	2,465	754	1,711	48%

Probability and dilution sensitivity

The FY2030 financial-goal sensitivity changes only that outcome's residual weight. The 40% policy event remains in every reference row. These probabilities are not independent weights on all company sales.

FY2030 goal probability	FY2030 OP, USD million	Approximate change from prior case
0%	1,475	0%
40%	1,512	3%
60%	1,531	4%
70%	1,540	4%
100%	1,568	6%

Small policy contribution within the active case

US cents per share | 100cents = USD1 | selected policy weight40%

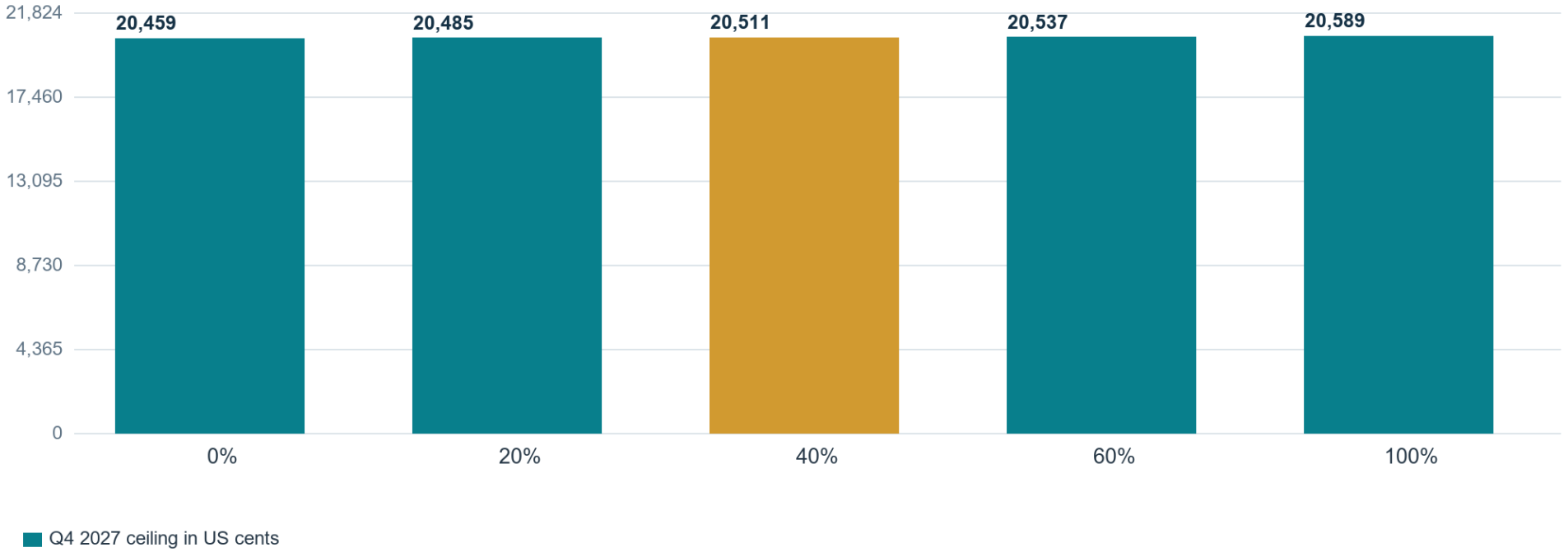


Figure 6. Existing policy sensitivity in UScents per share, so the small effect stays visible with whole-number labels. The selected 40% case is marked in gold.

Policy probability	Q4 2027 ceiling, UScents	Increment versus zero policy, UScents
0%	20,459	0
20%	20,485	26
40%	20,511	52
60%	20,537	78
100%	20,589	130

Additional diluted shares	Q4 2027 ceiling, USD	Interpretation
0%	205	Same operating case; existing starting-quarter denominator
5%	195	Share sensitivity only
10%	186	Share sensitivity only

The 40% policy weight remains shared with other companies exposed to the same event. These are correlated exposures. The 60% FY2030 goal weight is a judgment on Semtech's incremental margin/cost outcome after overlap. Later continuation is progressively less reliable; actual product mix, funding and qualification can change the result.

Validation and next evidence

This current artifact retains the selected 40% policy case and incorporates the 60% FY2030 goal residual. The official guided quarter is calibrated separately. Existing company valuation methods, quarter conventions, ownership and dilution schedules are retained. Every existing portfolio Excel Base is protected; the analytical score above is assessed separately.

The incremental ledger exposes revenue, production costs, gross profit and operating expense. A zero-policy sensitivity removes only that ledger's contribution. It is a diagnostic control, not a competing active forecast. Reported facts and dated guidance retain their original dates; new pricing, exposure, costs and timing are labeled analyst assumptions.

The most useful next evidence is the proposed content definition, product-specific fabrication and assembly routes, contract repricing rights, delivered 3200G qualification, accepted component premiums and unit-cost/yield data. Those observations can raise or lower the inputs and their probability; official confirmation is not a prerequisite for modeling this credible breadcrumb.

Current model: **SMTC_Q_Model** in **v 3_2_master_portfolio.xlsx**. The full quarterly model includes all seven original product vectors, the retained policy bridge and the October 15 guidance/FY2030 residual outcome. Approval snapshots and change history are retained externally rather than as competing current forecasts.

Source register and evidence dates

ID	Source / date / location	Evidence status
C1	P Equity Research / tuolaji, Expert Call: Tower Semiconductor, October 2, 2026, supplied 23-page PDF, pages 17-18	Anonymous expert / AI-translated channel evidence; not issuer disclosure
C2	Frozen Semtech capacity calibration, October 3, 2026	Analyst bridge from attributed inputs; not separate revenue forecast

- q 2_fy 2027_10q.pdf. Retrieved October 3, 2026. Issuer-hosted filing for July 26, 2026; PDF pages 4, 6, 9, 13, 22-27 and 47-51.

- q 2_fy 2027_presentation.pdf. Retrieved October 3, 2026. Issuer presentation dated August 25; PDF pages 7, 16-18, 21-23 and 27-28 are relevant.

- q 2_fy 2027_call_mirror.html. Retrieved October 3, 2026. August 25 call, third-party transcript copy; not independently transcribed audio.

- issuer_events.html. Retrieved October 3, 2026.

- issuer_webcast.html. Retrieved October 3, 2026. Issuer-linked webcast; retrieved landing page is registration-gated.

- Semtech September 21 quad / octal optical interconnect release. Primary product evidence; four dies per module is not universal.

October 13 and October 15 primary sources

- Semtech/Tower dedicated SiGe capacity announcement, October 13,2026. Multiyear capacity support and Semtech investment; no exact wafer allocation or accepted incremental order disclosed. Same capacity event; no second volume increment.

- Semtech October 15 Form 8-K. Official revised FQ3 FY2027 outlook and FY2030 goals; the issuer CFO original PDF contains the matching numerical disclosures.

- Semtech CFO Analyst Day presentation, October 15,2026. Original 23-page PDF preserved. Relevant PDF pages 8,15,16 correspond to printed pages 51,58,59 and are embedded above. Forward non-GAAP measures have no reliable full future GAAP reconciliation; the existing adjusted-OP valuation method is preserved.

The company 104 million diluted-share and 20% tax goals are context. The model retains its own period-specific diluted shares and sanctioned adjusted operating-profit method. Existing analytical Base 78 and protected portfolio Base 78 remain unchanged.